27 May 2020

To: **H.E. Nguyen Thi Kim Ngan**
Chairwoman
National Assembly
Hanoi, Vietnam

Comments on the new PPP law

Your Excellency,

The Japanese Chamber of Commerce and Industry in Vietnam ("JCCI") and Japan Bank for International Cooperation ("JBIC") would like to express appreciations for the National Assembly of Vietnam and the relevant government authorities, including the Ministry of Planning and Investment, making great efforts to develop a new Public-Private Partnership ("PPP") law in Vietnam. We trust that the establishment of the new PPP law in an effective form will be an important milestone for Vietnam to mobilize more investments from the private sector for infrastructure development and accelerate economic growth of the country.

Having reviewed the latest draft PPP law, we would like to provide the following comments to ensure that the new law will attract more private investors, including Japanese and other foreign investors, into PPP projects in Vietnam. It would be highly appreciated if you could pay special attention to our comments below and take them into consideration upon the establishment of the new PPP law:

1. Power plant projects need to be eligible for the new PPP law:

- It is learnt that there is an ongoing discussion among the relevant parties that the power plant projects may be excluded from the eligible sectors under the PPP law. We suppose that the intention of such discussion is to implement the power plant projects by Independent Power Producer ("IPP") scheme under the existing Law on Investment.
- However, this option to remove power plant from PPP law seems not to be in line with Resolution No.55-NQ/TW (2020) of the Politburo which encourages energy investment projects in the form of PPP, and we have a concern that such a course may result in significant issues for Vietnam:
    a) To meet the significant electricity demand, which is growing rapidly, Vietnam is expected to require 15 bil. USD in investments in the energy sector every year; however, such amount seems too great to obtain financing exclusively from the Vietnam domestic market.
    b) Vietnamese private enterprises' capability to implement power plant projects is still at learning stage. It is the well-known fact that Vietnam is facing a risk of electricity shortages partly due to the delay of such less-capable developers' projects.
    c) Electricity shortage in the future could lead to the decrease of foreign direct investment ("FDI") in sectors other than the power sector, though FDI is one the most important factors for the economic growth of Vietnam.
- Since if the power plant projects are invested in the form of IPP projects, it is uncertain whether under the Law on Investment, foreign investors may obtain the government supports which enable the power plant project bankable as described 2 below, FDI investors will face the difficulty to obtain the large scale foreign financing necessary to implement the power plant projects. Accordingly, FDI investors will not be able to invest in the power plant projects in Vietnam as they had done so in the past in the form of PPP.

- Hence, we suggest that the power plant projects should be eligible for the new PPP law, so that Vietnam can mobilize "high quality investments" from key foreign investors.

2. PPP projects need to be bankable for "Project Finance" scheme:

- To mobilize large-scale investments as stated above, it is a must for investors to be able to utilize a "Project Finance" scheme (raising debt relying on a single project's revenue and cashflow), in addition to a "Corporate Finance" scheme (raising debt for the project relying on the parent company's creditworthiness).
- It is important to address the following points in the new PPP law, or at least ensure that the PPP Law does not prohibit or inhibit the implementation of the following points in PPP contracts, so that foreign banks/financial institutions (the "Lenders") and foreign investors would be able to effectively use a "Project Finance" scheme to raise sufficient debts for PPP projects, including power plant projects:

a) **Guarantee of Contract Signing Agency and State-Owned Enterprise's Payment Obligation:** Given that it is generally challenging for the Lenders to take the long-term credit risk of Vietnamese offtaker (such as a power purchaser in case of power plant projects), they would require the Government of Vietnam to provide the guarantee of payment obligations of the relevant offtaker and agency.

b) **Guarantee / Assistance for Currency Convertibility and Remittance:** In case the project's revenue is paid in Vietnamese Dong, the Lenders would require the Vietnamese Government to provide a guarantee (with minimum coverage ratio of 30%) coupled with an undertaking to assist by delivering US Dollars to convert 100% of Vietnamese Dong revenues and to remit such US Dollars to offshore bank accounts.

c) **"Bankable" Project Contract and Offtake Agreement**: The PPP project contract and offtake agreement (such as power purchase agreement for power plant projects) need to be "bankable." The key points to make such agreements bankable include, but are not limited to:

i. **Revenue Structure** should include a "Take-or-Pay" arrangement, such as a capacity payment, to cover the fixed costs of the project including debt repayment. The amount of the tariff or capacity payment needs to be calculated in US Dollars (even though payment may be made in Vietnamese Dong).

ii. **Termination Payment** should be payable upon termination of the PPP project contract and offtake agreement. The circumstances allowing termination should include, but not limited to: (1) default of the offtaker or other Vietnamese key project counterparty, and (2) prolonged political and natural force majeure events affecting the project or a Vietnamese key project counterparty. The amount of such termination payment should cover at least outstanding debt, break costs for the Lenders and return for the investor, and should be payable in US Dollars.

iii. **Protection for Change-in-Law** concept should be included, where compensation for change-in-law resulting in a cumulative financial impact will be compensated by way of revenue adjustment or direct payment.

iv. **Protection for Political and Natural Force Majeure** should be included, where the offtaker or PPP contract counterparty would pay deemed capacity payments to the project in case of (1) political force majeure events affecting the project or a Vietnamese key project counterparty, and (2) natural force majeure affecting a Vietnamese key project counterparty, along with other appropriate circumstances.

v. **Lenders' Step-in-Rights and Security Enforcement Rights** should be made available to the Lenders. Such rights will allow the Lenders to step into a project

and cure defaults prior to PPP contract termination, as well as take control of and sell the project assets in case a default occurs under the loan agreements or PPP contracts. In the event the Vietnamese PPP contract counterparties require a step-in right, such step-in right should be subordinated to the rights of Lenders.

d) **Flexibility to choose Foreign Contractors**: The current draft of the PPP Law contemplates requiring the selection of domestic contractors for the construction and operation of PPP project works. International lenders and investors will generally require the ability to freely choose between foreign and domestic contractors for the construction and operation of PPP projects. A legislative mandate requiring the use of domestic contractors will reduce the attractiveness of PPP projects for international lenders and investors, reduce competition, and significantly deter investments.

e) **Flexibility to choose Governing Law**: The International Lenders would generally require English Law as governing law of the project agreements including offtake agreement or at least require English Law to be used for the interpretation of key project contracts.

We would highly appreciate it if you could kindly consider and reflect our comments above into the new PPP law accordingly. If you have any questions, please do not hesitate to contact us and we are happy to answer your questions.

Sincerely yours,

HỘI CÁC DOANH NGHIỆP NHẬT BẢN TẠI VIỆT NAM
BAN LÃNH ĐẠO

Sudo Kazunori
Chairman
The Japanese Chamber of Commerce and Industry in Vietnam

※CC:
- Mr. Mai Tien Dung, Minister, Chairman of the Office of the Government
- Mr. Nguyen Chi Dung, Minister of Ministry of Planning and Investment
- Mr. Tran Tuan Anh, Minister of Ministry of Industry and Trade
- Mr. Dinh Tien Dung, Minister of Ministry of Finance
- Mr. Takio Yamada, Ambassador, Embassy of Japan in Vietnam